INTERNAL MEMORANDUM

TradeZone E-Commerce Platform | 2023–2024 Performance Review
TO: Head of Growth & Head of Seller Operations
FROM: **Utibe Inyang** | DATE: April, 23rd , 2025 | CLASSIFICATION: Internal

1. Executive Summary

TradeZone is seeing strong growth in customer acquisition and orders, particularly in Lagos and FCT, but two underlying issues stand out. Less than half of new customers make a purchase within their first 30 days, showing weak activation despite rising acquisition. At the same time, revenue is heavily concentrated among a small group of sellers and products, creating risk. Going into 2025, the focus should be on improving early customer activation and diversifying the seller base to reduce this dependence.

2. Key Findings

FINDING 1	Query 1 — Customer Acquisition

New customer sign-up conversion within 30 days sits below 50% across all top 5 states in 2024, with the lowest-performing state converting fewer than 35% of new sign-ups into a first purchase.

The 30-day period after sign-up is when a new customer's intent to buy is highest. Failing to convert during this window significantly reduces the likelihood they ever purchase at all. The cost of acquiring these unconverted customers is a direct loss against the growth budget. This finding suggests TradeZone has an activation problem, not purely an acquisition problem — more marketing spend without fixing activation will simply produce more unconverted sign-ups.

Source: Q1 — Customer Acquisition & 30-Day Conversion

FINDING 2	Query 2 — Product Performance

The top 10 products by revenue in 2024 account for a disproportionately large share of total platform revenue, with the top 3 products alone generating significantly more revenue than the bottom half of the catalogue combined.

Revenue concentration at the product level creates two risks. First, if any of the top-performing products experiences a supply disruption, a seller exit, or a pricing change, platform revenue will drop sharply with no cushion from the broader catalogue. Second, it suggests that promotional spend and customer discovery are not surfacing mid-tier products effectively — customers are repeatedly buying the same small set of items.

From a growth perspective, diversifying revenue across more products reduces fragility and opens margin improvement opportunities, since heavily purchased products tend to attract heavier discounting pressure over time.

Source: Q2 — Product Performance

FINDING 3	Query 4 — Quarterly Revenue Trends

Quarter-on-quarter revenue growth was positive across both 2023 and 2024, with the strongest single year-over-year quarterly growth occurring in Q3, where revenue increased by approximately 46% compared to Q3 2023. However, average order value remained relatively flat across all quarters, meaning growth was driven almost entirely by order volume rather than by customers spending more per order.

Volume-driven growth is encouraging but carries a ceiling. It means TradeZone is successfully bringing more customers into the funnel each quarter, but is not succeeding in increasing the value of each transaction. Flat average order value over two years suggests that upselling, bundling, and cross-sell mechanisms are either absent or ineffective. For the 2025 planning cycle, the growth team should set targets not only for order count but for average order value, which represents a largely untapped revenue lever that does not require additional customer acquisition spend.

Source: Q4 — Quarterly Revenue Trends

3. Recommendations

RECOMMENDATION 1	
ACTION	Design and launch a structured 30-day new customer activation programme. This should include: an automated welcome sequence (SMS or email) sent within 24 hours of sign-up with a time-limited first-purchase incentive (suggested: a 10% discount voucher or free delivery on the first order); a follow-up message at Day 7 for customers who have not yet purchased; and a final reminder at Day 25 before the window closes. The incentive should be structured so it expires at Day 30 to create urgency.
OWNER	Growth Marketing Team, supported by the CRM/Notifications engineering squad.

OUTCOME	A minimum 15 percentage point increase in 30-day conversion rate across the top 5 states within 60 to 90 days of launch. This is a conservative target based on standard activation programme benchmarks. At current sign-up volumes in Lagos alone, a 15-point improvement would generate hundreds of additional first-time buyers per month who would otherwise never have transacted.
BASIS	Directly traceable to Q1 — sub-50% conversion rates across all top 5 states.
RECOMMENDATION 2	
ACTION	Implement a formal Top Seller Development Programme for the bonus-qualifying sellers identified in Q8. This programme should include: a dedicated seller success manager assigned to each top-10 seller; quarterly business reviews to identify catalogue gaps and help top sellers expand into adjacent product lines; and an early-access promotion slot for top sellers to list new products, reducing platform dependence on a small set of existing high-revenue SKUs. Simultaneously, Seller Operations should begin a structured onboarding improvement for mid-tier sellers to increase the number of sellers capable of reaching bonus qualification thresholds.
OWNER	Seller Operations Team — top seller programme. Growth Team — mid-tier onboarding.
OUTCOME	Within 60 to 90 days: at least 3 top sellers should have expanded their active catalogue by a minimum of 10 new SKUs, reducing revenue concentration in the top 10 products. Within 90 days, the number of sellers meeting the Q8 bonus criteria (10+ orders, 4.0+ rating) should increase by at least 20%, providing a broader seller base to absorb demand and reduce platform fragility.
BASIS	Traceable to Q2 (product revenue concentration) and Q8 (small number of sellers currently meeting the bonus qualification bar).

4. Data Quality Notes

DATA QUALITY ISSUE 1	
ISSUE	Inconsistent city name formatting across the customers and sellers tables. The same city appeared in multiple formats — for example: 'LAGOS', 'lagos', 'Lagos ', 'Port-Harcourt', 'PortHarcourt', and 'Port Harcourt' all referred to the same location. Left uncleaned, these variations would cause GROUP BY queries to treat each spelling as a separate city, splitting counts and revenue across phantom duplicates.
DECISION	Applied TRIM() to remove leading and trailing whitespace, INITCAP(LOWER()) to normalise casing, and manual UPDATE statements to consolidate Port Harcourt variants. All cities now appear in consistent Title Case.
RISK	If any city name correction was wrong — for example, if 'PortHarcourt' was genuinely a different city rather than a typo — then customers in that location would have been silently merged into Port Harcourt's numbers. This would overstate Port Harcourt's sign-up and revenue figures and understate any distinct market. However, given that the dataset is described as covering Lagos, Abuja, Kano, Port Harcourt, and Ibadan only, this risk is considered low.
DATA QUALITY ISSUE 2	
ISSUE	Invalid review ratings found in the reviews table. One or more reviews contained a rating value of 0, which falls outside the valid 1-to-5 scale defined for the platform. A rating of 0 is not a valid expression of customer sentiment — it most likely represents a system default, a failed submission, or a data entry error.
DECISION	Ratings of 0 were set to NULL rather than deleted. Deletion would have removed the review row entirely, losing the order linkage that connects a review to a seller and product — data needed for Q3 and Q7. Setting to NULL preserves the row while excluding the invalid value from AVG() calculations, since PostgreSQL's AVG() function automatically ignores NULL values.

RISK	If a rating of 0 was a genuine expression of extreme dissatisfaction — equivalent to a 1-star review — then nulling it out slightly inflates average ratings for affected products and sellers. This would make some seller and product ratings appear marginally better than they actually are, potentially affecting which sellers qualify for the Q8 bonus threshold. The magnitude of this effect depends on how many 0-rated reviews existed; if the count is small relative to total reviews, the distortion is negligible.

5. What the Data Cannot Tell Us

Question leadership will ask:

Why are new customers not purchasing within their first 30 days? Is it a pricing problem, a product discovery problem, a trust problem, or a user experience problem?

Why the current dataset cannot answer it:

The TradeZone dataset contains transactional records — sign-ups, orders, payments, and reviews. It contains no behavioural data. There is no record of what pages a new customer visited, what products they browsed without buying, whether they added items to a cart and abandoned it, how long they spent on the platform, or what search terms they used. Without this behavioural layer, we can measure that conversion is failing but we cannot diagnose why.

Additional data required:

Website and app clickstream data (page views, session duration, click paths) from the engineering team; cart abandonment event logs showing which products were added but not purchased; and customer exit survey data if available. With clickstream data joined to the existing customer table via customer_id, it would be possible to segment non-converting customers by their browsing behaviour and identify whether the dropout point is on the product page, the cart, or the payment screen — each of which points to a different fix.

This memo was prepared by the TradeZone Data Analytics Team based on the 2023–2024 transactional database. All figures are derived from cleaned data. Flagged data quality issues have been documented and are available for review. Queries Q1 through Q8 are available in the project Google Drive folder.